

NHPC

10.4%
ROE

5.1%
ROCE

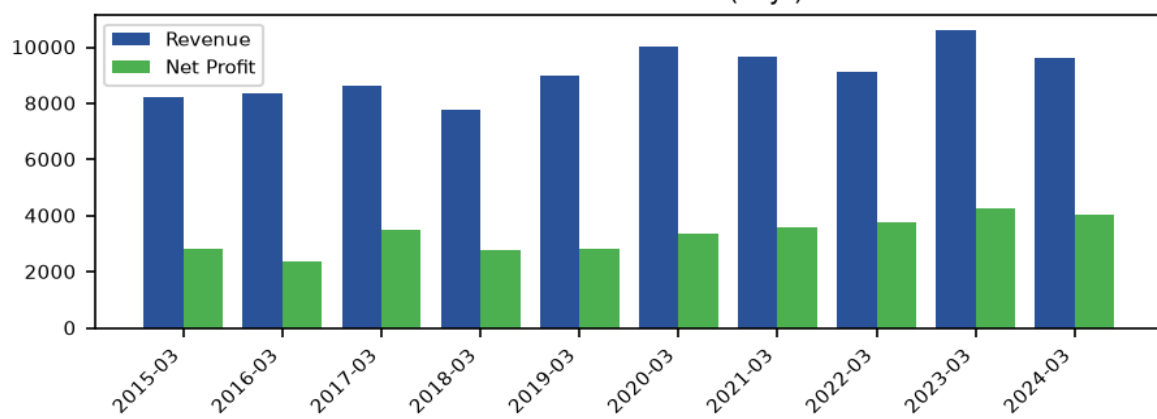
0.8x
D/E

1.4%
Revenue CAGR (5yr)

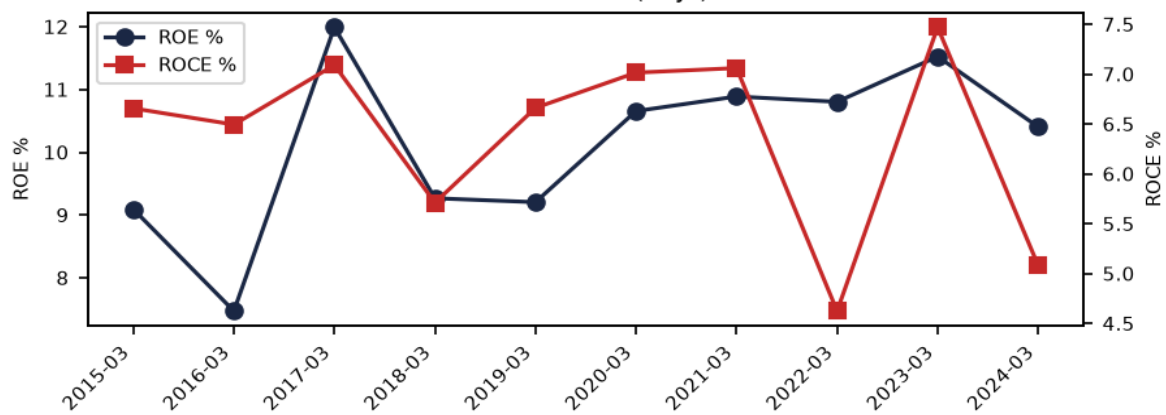
49.9%
OPM

41.8%
Net Profit Margin

Revenue vs Net Profit (10yr)

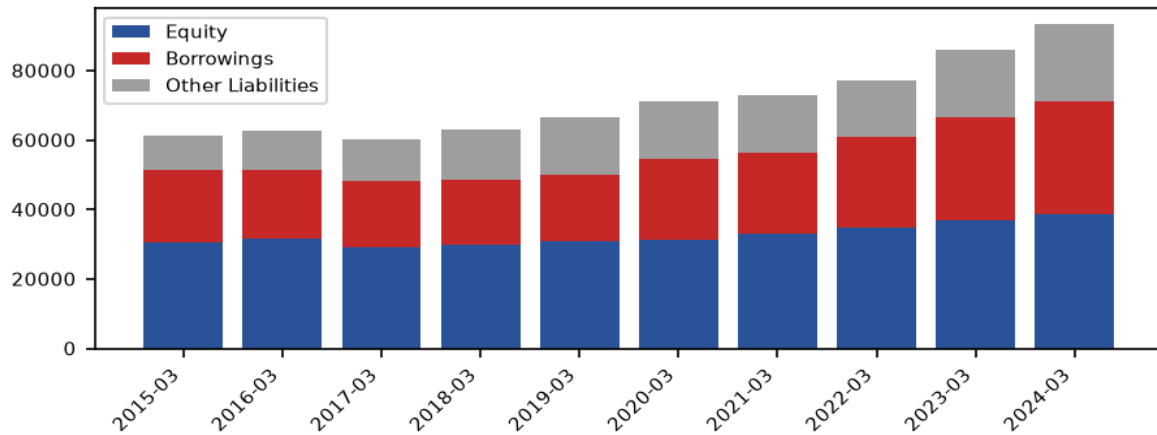


ROE vs ROCE (10yr)

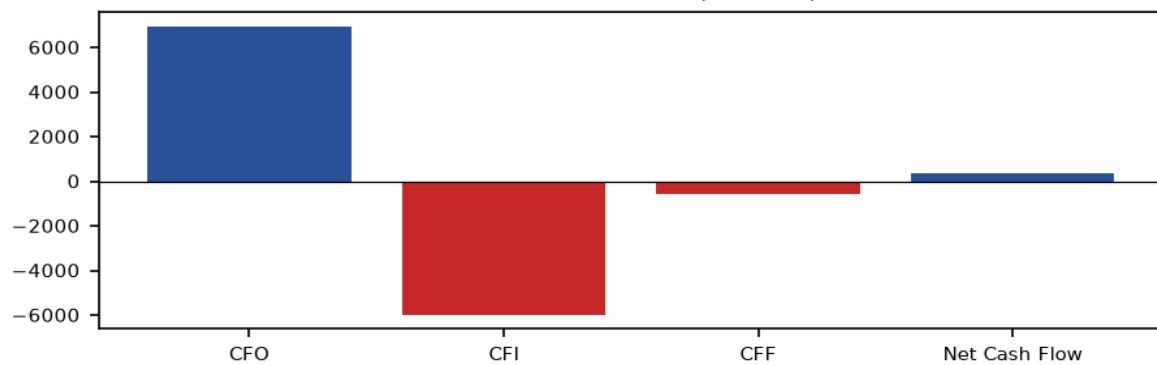


NHPC

Balance Sheet Composition (10yr)



Cash Flow Waterfall (2024-03)



Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation Pattern: Shareholder Returns